

[Figure 74.4](#) shows one application of the measure rule. The well-defined rising wedge (the June pattern) passes all the identification guidelines outlined in [Table 74.1](#). A trader willing to short the stock would use the measure rule to gauge the likely profitability of the trade. In this example, the target price is the lowest price in the wedge, or 29.75. Price drops to the target just over a week after the breakout.

Wait for breakout. To improve the chances of trading success, wait for a breakout. Don't try to guess the breakout direction ahead of time. Mistakes can be costly.

Take profit quickly. With performance from the rising wedge so bad and failures even worse, you might want to reconsider trying to short this bad boy. If you have a death wish, then trade them carefully and watch for a reversal. Close out a trade quickly unless you find valid technical or fundamental evidence supporting your beliefs. Keep in mind that the market is always right. It will tell your wallet or purse when you've made a mistake.

Busted trade. I discussed how single busted wedges outperformed their non-busted siblings. I would stick to targeting downward breakouts in bull markets that bust. The single bust rate is high (76%), and single busted patterns outperform (gaining an average of 56%). That gain measures from the top of the wedge to the ultimate high.